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Leader-Follower Dynamics in Shareholder Activism

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1 Big picture

- **Question.** How can multiple activist blockholders coordinate without forming an explicit coalition, and what does that imply for trading, governance, and prices?
- **Setting.** Two activists hold private initial blocks in the same firm. They trade sequentially in a Kyle-style market with noise trading, and then both exert costly effort that raises firm value. The leader trades first, anticipating that the follower will learn from the order flow and trade second.
- **Core challenge.** In standard Kyle models, informed trading is unpredictable on average. Here, however, trades affect not only prices but also the firm’s future fundamentals because bigger terminal blocks induce more activist effort. Once the first trader can influence the second trader’s incentive to accumulate shares, order flow becomes a strategic communication device.
- **Main theoretical result.** The leader manipulates the follower’s perceived trading gains through the first-period order flow. If activists’ initial blocks are **positively correlated**, the leader **sells on average**; if they are **negatively correlated**, the leader **buys on average**. The follower’s trade remains conditionally mean zero.
- **Governance implication.** Positive interdependence worsens free riding because the leader unloads activism costs onto the follower. Negative interdependence does the opposite: the leader must build more skin in the game to induce the follower to contribute.
- **Price implication.** Since prices equal expected fundamentals, the model predicts average price distortions during activism episodes: with positive interdependence, prices are lower than in a no-manipulation benchmark; with negative interdependence, they are higher.
- **First-mover advantage.** Sequential trading can make both activists better off than simultaneous trading because it reduces direct competition in acquiring blocks. But the leader benefits more when activists are similar, when initial blocks are larger, and when there are multiple followers.
- **Institutional relevance.** The model offers a theory of **wolf-pack activism**: a leader activist can move first, shape market signals, and induce followers to acquire stakes and bear intervention costs without a formal agreement.
- **Why this paper matters.** It connects market microstructure, blockholder governance, and shareholder activism. The main message is that order flow can coordinate activism, so the timing of trades is part of the governance technology itself.

2 Data and measurement (key objects)

This is a theory paper, so the relevant “data” are the objects of the model rather than an empirical panel. The paper is organized around the information structure, the timing of trades, and the endogenous mapping from terminal ownership to firm value.

2.1 Observed actors and state variables

- **Players.** There are two activist blockholders: a **leader** L and a **follower** F .

- **Private initial blocks.** Each activist begins with a private position

$$X_0^L \in \mathbb{R}, \quad X_0^F \in \mathbb{R}.$$

- **Distribution of blocks.** Initial blocks are jointly normal with common mean $\mu > 0$, variance $\phi > 0$, and covariance $\rho \in [-\phi, \phi]$.
- **Interpretation of ρ .** Positive ρ means activists tend to have similar stakes or similar underlying information; negative ρ means their positions tend to move in opposite directions.

2.2 Observed trading environment

- **Period 1.** The leader alone trades against a competitive market maker.
- **Period 2.** The follower alone trades after observing the first-period price.
- **Noise trading.** Total order flow in each period contains an additive noise component:

$$\Psi_1 = \theta^L + \sigma Z_1, \quad \Psi_2 = \theta^F + \sigma Z_2,$$

where $Z_1, Z_2 \sim N(0, 1)$ are independent and $\sigma > 0$ measures order-flow volatility or market liquidity.

- **Public information.** The public filtration $(\mathcal{F}_t)_{t=0,1,2}$ is generated by the prior and then by realized order flows and prices.

2.3 Observed payoff-relevant objects

- **Terminal positions.** After trading,

$$X_T^i = X_0^i + \theta^i, \quad i \in \{L, F\}.$$

- **Effort and firm value.** In the baseline model, each activist exerts effort W^i at cost $\frac{1}{2}(W^i)^2$, and total firm value is

$$W = W^L + W^F.$$

Because optimal effort equals the activist's terminal position, larger terminal blocks imply stronger incentives to intervene.

- **Prices.** The competitive market maker sets P_1 and P_2 equal to conditional expectations of final firm value.

2.4 Unobservables and timing

- **Key informational asymmetry.** The market maker does not observe either activist's private block. The follower has more information than the market maker after period 1 because he can combine the public signal with his own private block.
- **Key timing feature.** The leader moves first, so she can distort order flow knowing that the follower will react to it in period 2.
- **Targeted empirical phenomena.** The paper is aimed at explaining block accumulation in multiactivist campaigns, price behavior around disclosure windows, and “wolf-pack” behavior among hedge funds.

3 Models and empirical specifications (all equations + interpretation)

3.1 Baseline environment

The model has three periods. In periods 1 and 2, activists trade; in period 3, they exert effort.

Terminal positions satisfy

$$X_T^i = X_0^i + \theta^i, \quad i \in \{L, F\}. \quad (1)$$

Each activist solves

$$\sup_{\theta^i, W^i} \mathbb{E} \left[(W^i + W^{-i}) X_T^i - P_{t(i)} \theta^i - \frac{1}{2} (W^i)^2 \mid X_0^i, \mathcal{F}_{t(i)-1} \right], \quad (2)$$

where $t(L) = 1$ and $t(F) = 2$.

Using the optimal effort condition $W^i = X_T^i$, the problem becomes

$$\sup_{\theta^i} \mathbb{E} \left[(X_T^i + X_T^{-i}) X_T^i - P_{t(i)} \theta^i - \frac{1}{2} (X_T^i)^2 \mid X_0^i, \mathcal{F}_{t(i)-1} \right]. \quad (3)$$

- **Interpretation.** The value of a larger block is twofold: it increases direct exposure to the firm, and it raises the activist's willingness to incur costly intervention.
- **Free-rider problem.** Each activist benefits from the other activist's effort but does not internalize that gain when choosing her own effort.

3.2 Linear strategies and the equilibrium concept

The paper studies **positive-block-sensitivity** (PBS) linear equilibria. The strategy profile is

$$\theta^L = \alpha_L X_0^L + \delta_L \mu, \quad \theta^F = \alpha_F X_0^F + \beta_F P_1 + \delta_F \mu. \quad (4)$$

- **PBS restriction.** The equilibrium is restricted to $\alpha_L > 0$ and $\alpha_F > 0$, so larger initial blocks lead to larger terminal blocks.
- **Why this matters.** This is the natural analogue of standard insider-trading logic: activists with stronger private stakes normally buy more, not less. The paper later shows that other linear equilibria with negative block sensitivity can exist, but these are better interpreted as coordination on value destruction or sharp position reversals.

3.3 Beliefs and prices

Before any trading, the market maker's quoted price is

$$P_0 = \frac{\mu(2 + \alpha_L + \alpha_F + \delta_L + \delta_F)}{1 - \beta_F}. \quad (5)$$

After observing first-period order flow, the leader trades at

$$P_1 = P_0 + \Lambda_1 (\Psi_1 - (\alpha_L + \delta_L) \mu), \quad (6)$$

where Λ_1 is first-period price impact. The follower's posterior belief about the leader's terminal block is

$$Y_1^F = (1 + \alpha_L)Y_0^F + \delta_L\mu + \frac{(1 + \alpha_L)\alpha_L\nu_0^F}{\alpha_L^2\nu_0^F + \sigma^2}(\Psi_1 - (\alpha_L Y_0^F + \delta_L\mu)). \quad (8)$$

In period 2, the follower trades at

$$P_2 = P_1 + \Lambda_2(\Psi_2 - \alpha_F M_1^F - \beta_F P_1 - \delta_F\mu). \quad (9)$$

Price impact is computed as the usual regression coefficient,

$$\Lambda_t = \frac{\text{Cov}(X_T^L + X_T^F, \Psi_t)}{\text{Var}(\Psi_t)}. \quad (11)$$

- **Interpretation of P_1 .** The market maker treats order flow as informative about future firm value because terminal positions drive effort.
- **Interpretation of Y_1^F .** The follower filters the first-period order flow using his own private information. This gives him a different inference from the market maker.
- **Core asymmetry.** The leader knows that the follower's posterior and the market maker's posterior will not react to order flow in the same way.

3.4 Follower and leader optimality conditions

The follower's first-order condition is

$$\theta^F \Lambda_2 = \mathbb{E}_F[X_T^F + X_T^L] - \mathbb{E}_F[P_2].$$

The leader's first-order condition is

$$\theta^L \Lambda_1 = \mathbb{E}_L[X_T^F + X_T^L] - \mathbb{E}_L[P_1] + X_T^L \frac{\partial \mathbb{E}_L[X_T^F]}{\partial \theta^L}.$$

The last term is the **value of manipulation**: by changing her own trade, the leader changes the follower's eventual block and hence the follower's effort.

Using the follower's FOC, the follower's trade can be written as

$$\theta^F = \frac{Y_1^F + X_0^F - P_1}{2\Lambda_2 - 1}. \quad (13)$$

- **Interpretation.** The follower buys more when his belief about leader-induced firm value rises relative to the price he faces.
- **Leader's problem.** The leader trades to balance three forces: standard trading gains, price impact, and the effect of order flow on the follower's incentive to buy and intervene.

3.5 Main positive result: predictable leader trades

Let

$$\alpha^K := \sqrt{\frac{\sigma^2}{\phi}} = \frac{\sigma}{\sqrt{\phi}},$$

be the usual Kyle coefficient from the single-insider benchmark.

Theorem 1. There exists a lower bound $\underline{\rho} \in (-\phi, 0)$ such that for all $\rho \in (\underline{\rho}, \phi]$, a PBS equilibrium exists. In that equilibrium:

- if $\rho > 0$, the leader **sells on average**: $-\delta_L > \alpha^K > \alpha_L > 0$, so $\mathbb{E}[\theta^L \mid \mathcal{F}_0] < 0$;
- if $\rho < 0$, the leader **buys on average**: $\alpha_L > \alpha^K > -\delta_L > 0$, so $\mathbb{E}[\theta^L \mid \mathcal{F}_0] > 0$;
- the follower remains conditionally neutral on average: $\mathbb{E}[\theta^F \mid \mathcal{F}_1] = 0$;
- only when $\rho = 0$ do we recover the standard “gap” strategy

$$\theta^i = \alpha^K (X_0^i - \mu), \quad i \in \{L, F\}.$$

- **Economic meaning.** Predictability arises only because order flow influences another activist’s future intervention decision.
- **Positive correlation.** A large first-period order flow makes the market maker think both activists will contribute more, so the price reacts too strongly relative to the follower’s own valuation. That discourages the follower from buying, so the leader optimally shades her trade downward and sells on average.
- **Negative correlation.** Now the market maker’s inference about the follower offsets the inference about the leader, so price reacts less than the follower’s own valuation. The leader buys more aggressively because doing so creates trading gains for the follower.

The mechanism is transparent in the expression

$$X_T^L \frac{\partial \mathbb{E}_L[X_T^F]}{\partial \theta^L} = \frac{X_T^L}{2\Lambda_2 - 1} \left(\frac{\partial Y_1^F}{\partial \Psi_1} - \frac{\partial P_1}{\partial \Psi_1} \right). \quad (16)$$

- The bracketed term compares how informative first-period order flow is for the follower versus for the market maker.
- This wedge is the heart of the paper: the leader manipulates the difference between the follower’s valuation and the price.

3.6 Why the mechanism is not tied to one information structure

The paper shows that the same qualitative force survives under alternative informational environments.

Proposition 1. The sign result $\text{sign}(\mathbb{E}[\theta^L \mid \mathcal{F}_0]) = -\text{sign}(\rho)$ survives when private information is instead about:

- an **exogenous component of firm value**; or

- an activist’s **cost of effort**.
- **Interpretation.** Blocks do not matter per se. What matters is that the leader has private information that affects fundamentals and that is informative for the follower in a different way than for the market maker.

3.7 Further model variations

Proposition 2. If both activists trade in *both* rounds, then even with $\rho = 0$ there exists a linear equilibrium (for sufficiently small σ) in which both activists sell on average at $t = 1$.

- **Interpretation.** Correlation is only one route to the mechanism. More generally, the activists need a better signal-extraction technology than the market maker.

Proposition 3. If the leader is passive and only the follower exerts effort, the leader sells on average for all $\rho \neq 0$. But if private information is about exogenous firm-value components, the sign result can reemerge.

- **Interpretation.** The ability to intervene matters for monetizing manipulation. A passive leader can get trapped in an inferior role.

Proposition 4. If the follower is “friendly” to the firm in the sense that supporting the leader is privately costly, then the leader sells on average even when $\rho = 0$.

- **Interpretation.** Selling can also be used to soften expected counteraction, not only to create follower trading gains.

3.8 Predictions for governance, prices, and liquidity

The paper then studies outcomes from an ex ante perspective.

Theorem 2. In any PBS equilibrium:

- **Governance and interdependence:**

$$\mathbb{E}[W^L + W^F] \leq 2\mu \quad \text{iff} \quad \rho \geq 0,$$

with strict inequality when $\rho \neq 0$, and ex ante firm value falls monotonically with ρ .

- **Efficacy of multiple activists:**

$$\mathbb{E}[W^L + W^F] > \mu$$

for all ρ such that a PBS equilibrium exists. So a two-activist attack always creates more value than a single-activist benchmark.

- **Liquidity effect:** when $\rho > 0$, more noise-trader volatility σ weakens price impact but can strengthen manipulation because the leader’s terminal block becomes larger. In the high-liquidity limit, the leader still sells a finite amount on average; in the zero-liquidity limit, the leader’s average trade goes to zero.
- **Governance implication.** Positive interdependence amplifies classic free riding; negative interdependence mitigates it.

- **Price implication.** Since prices equal expected fundamentals, average prices around activism events should be abnormally low when activists are positively correlated, and abnormally high when they are negatively correlated.
- **Liquidity implication.** Manipulation need not vanish in liquid markets because the leader's incentive to manipulate scales with her endogenous block size.

3.9 Sequential versus simultaneous trading

To study first-mover advantages, the paper compares the sequential game with a simultaneous one-shot benchmark.

Proposition 5. In the symmetric PBS equilibrium of the one-shot game,

$$\theta^i = \sqrt{\frac{\sigma^2}{2\phi}} (X_0^i - \mu), \quad i \in \{L, F\}.$$

Moreover, there exists a region around $\rho = 0$ in which both activists obtain higher ex ante payoff under sequential rather than simultaneous trading.

- **Interpretation.** Moving sequentially lowers acquisition costs because activists avoid direct competition in block building.
- **But not always.** With sufficiently negative correlation, simultaneous trading can be attractive because the other activist provides cheap liquidity in the opposite direction.

3.10 Who benefits most from leading?

The paper studies how the first-mover advantage depends on activist characteristics and market structure.

- **Block size.** Larger initial blocks benefit more from acting as leader when correlation is positive, because a larger block signals that the follower's block is likely large too, so avoiding direct competition becomes more valuable.
- **Productivity.** **Proposition 6** shows that with perfect correlation and sufficiently small σ , a productive activist prefers to lead when facing an unproductive activist, and the unproductive activist prefers to follow. More broadly, when both activists can add value, leading dominates following for small σ .
- **Multiple followers.** **Proposition 7** shows that splitting the follower into N small followers makes each follower trade more aggressively, reduces ex ante firm value under positive correlation, and increases the leader's ex ante payoff roughly at rate $\sqrt{N}$ for large N .
- **Economic message.** First-mover power is strongest when the leader can influence many later traders who each compete for trading gains.

3.11 Refinement and other equilibria

The paper also studies alternative linear equilibria in which activists attach negative weights to initial blocks, effectively coordinating on value destruction or sharp position reversals. These can

arise when correlation is positive and liquidity is high enough, or when correlation is very negative and the usual PBS equilibrium fails.

Proposition 8. For sufficiently small but positive σ , the PBS equilibrium exists and is the **unique** equilibrium within the linear class.

- **Interpretation.** Market illiquidity can refine the equilibrium toward the positive-activism outcome emphasized in the paper.

4 Identification and instruments (what makes the theory credible)

This is a theory paper, so identification is conceptual rather than econometric. The question is what assumptions are necessary to generate the predictability result, and whether the result survives beyond a knife-edge design.

4.1 What fails in the standard Kyle logic

- In standard Kyle models with exogenous fundamentals, informed orders are conditionally mean zero: private information affects the direction and intensity of trade, but not average order flow.
- Even with endogenous fundamentals, the same neutrality often survives in single-trader models or in static multi-trader models because no trader can influence another trader's later real action.
- Therefore, if one observes predictable informed trading, the standard "information plus price impact" channel is insufficient.

4.2 What identifies the new mechanism

The mechanism requires four ingredients.

- **Sequential trading.** A leader must move before a follower can react.
- **Endogenous fundamentals.** Terminal ownership must affect later firm value through effort or another real action.
- **Differential filtering of order flow.** The follower and the market maker must interpret the first-period signal differently.
- **Interdependence or equivalent asymmetry.** Either private information is correlated, or there is another reason the activist can extract more from order flow than the market maker can.

Once these pieces are present, order flow becomes a communication device and manipulation becomes valuable.

4.3 Why the sign of correlation is central in the baseline model

- With $\rho > 0$, the market maker infers that good news about the leader is also good news about the follower, so price overreacts relative to the follower's own valuation.

- With $\rho < 0$, the market maker offsets one activist’s contribution with the other’s, so price underreacts relative to the follower’s valuation.
- This is why the sign of β_F and of average leader trading flips with ρ .

4.4 Why the extensions matter

- The exogenous-value and private-cost extensions show that the mechanism is not tied to private blocks per se.
- The repeated-trading extension shows that correlation is not the only route to a differential signal-extraction problem.
- The passive-leader and friendly-follower extensions show that the leader’s ability to add value—or the follower’s willingness to support change—alters whether manipulation is profitable.
- The refinement result shows that the main equilibrium is not just one arbitrary equilibrium selection when markets are not too liquid.

4.5 Relation to the literature

- Relative to Kyle-type microstructure models, the paper adds endogenous fundamentals and activist-to-activist influence.
- Relative to multiple-blockholder governance models, it adds strategic trading and sequential block accumulation.
- Relative to activism-by-trading papers, it adds a new margin: a leader changes not just prices but the follower’s later willingness to bear intervention costs.
- Relative to empirical work on wolf packs, it offers a precise noncooperative mechanism for why a leader can emerge and why followers may appear to pile in after the first activist moves.

5 Tables and figures

There are no empirical regression tables in the main body of the paper. The paper’s evidence is delivered through theory, propositions, and six main figures.

5.1 Figure 1: Leader coefficients and signal sensitivities

Read:

- The left panel shows how the leader’s strategy coefficients differ from the standard Kyle benchmark as the correlation ρ changes.
- The right panel shows that the gap

$$\frac{\partial Y_1^F}{\partial \Psi_1} - \frac{\partial P_1}{\partial \Psi_1}$$

changes sign with ρ .

- This figure is the cleanest visual summary of the paper's mechanism: the sign of average leader trading is driven by whether the follower's belief is more or less sensitive than the market price to the same order-flow signal.

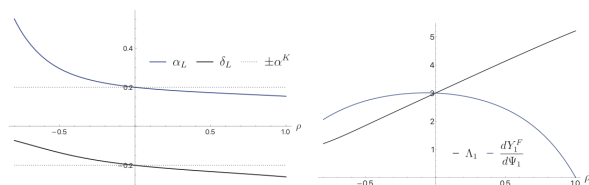


Figure 1. Left panel: leader's strategy coefficients, along with $\alpha^K := \sqrt{\sigma^2/\phi}$. Right panel: sensitivities of P_1 and Y_1^F with respect to Ψ_1 . Parameters values: $\phi = 1$, $\sigma = 0.2$. (Color figure can be viewed at wileyonlinelibrary.com)

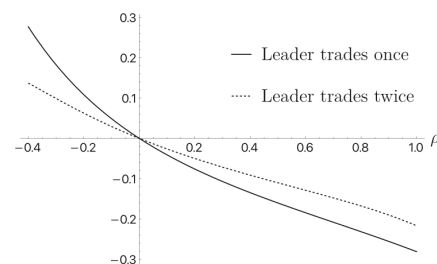


Figure 2. Leader's expected period-one trade. Parameter values: $\mu = \phi = 1$, $\sigma = 0.8$.

5.2 Figure 2: Leader trades once versus leader trades twice

Read:

- The figure compares the baseline model, where the leader trades only in period 1, with an extension where the leader also trades in period 2.
- The same qualitative predictability result survives: average first-period leader trades still move with the sign of correlation.
- The distortion is smaller when the leader can trade again later, because follower competition in period 2 reduces the value of first-period manipulation.

5.3 Figure 3: Expected leader trade as a function of market liquidity

Read:

- The figure plots the leader's expected trade against σ , the volatility of noise trading.
- With positive correlation, the leader sells more as markets become more liquid; with negative correlation, the leader buys more as markets become more liquid.
- The figure illustrates the paper's subtle liquidity result: more liquid markets reduce price impact, but can strengthen manipulation because the leader can build a larger block.

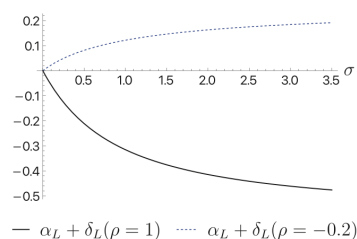


Figure 3. The leader's expected trade as a function of σ for two levels of correlation: $\rho = 1$ (solid) and $\rho = -0.2$ (dashed). When $\rho > 0$, the limit is finite as $\sigma \rightarrow \infty$. Parameter values: $\phi = \mu = 1$. (Color figure can be viewed at wileyonlinelibrary.com)

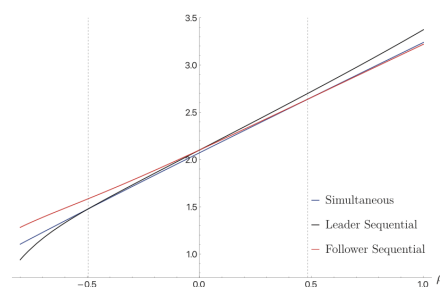


Figure 4. Leader's and follower's payoffs under sequential versus simultaneous moves. Between the dashed vertical lines, both players prefer sequential moves. Parameters: $\mu = \phi = 1$, $\sigma = 0.2$. (Color figure can be viewed at wileyonlinelibrary.com)

5.4 Figure 4: Sequential versus simultaneous payoffs

Read:

- The figure compares ex ante payoffs in the sequential and simultaneous games.
- Between the two dashed thresholds, both activists prefer sequential trading.
- This shows that timing coordination is not merely good for the leader; for an intermediate range of correlation levels, it is mutually beneficial.

5.5 Figure 5: The value of leading rises with block size

Read:

- The figure plots the payoff advantage of being first rather than second, conditional on an activist's initial block.
- The benefit of leadership rises with block size when correlation is positive.
- Intuition: larger initial blocks signal larger competing blocks on the other side, so the gain from avoiding direct competition in acquisition is bigger.

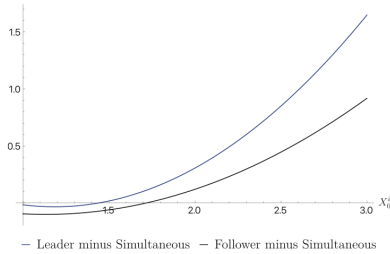


Figure 5. Expected payoff of $i = L, F$ conditional on X_0^i net of simultaneous-move counterpart. Parameter values: $\mu = \phi = 1$, and $(\rho, \sigma) = (0.5, 1)$. (Color figure can be viewed at wileyonlinelibrary.com)

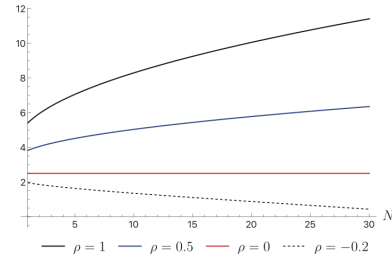


Figure 6. Leader's expected payoff as a function of the number of followers, for various levels of covariance. Other parameter values: $\phi = \mu = \sigma = 1$. (Color figure can be viewed at wileyonlinelibrary.com)

5.6 Figure 6: Multiple followers strengthen leader rents

Read:

- The figure plots the leader's expected payoff as the number of followers increases.
- More followers raise the leader's payoff, especially when correlation is high.
- This is the paper's theoretical bridge to wolf-pack activism: multiple small followers intensify competition for trading gains and enlarge the value of moving first.

6 Short summary

- **Conclusion.** Activists can coordinate without explicit agreements by timing their trades in sequence and using order flow to influence one another.

- **Key insight.** The first mover strategically manipulates the difference between how the follower and the market maker interpret order flow. That wedge creates predictable informed trading.
- **Main economic lesson.** Trading and governance are jointly determined: block accumulation shapes future intervention incentives, so market microstructure changes the extent of free riding among activists.
- **Institutional takeaway.** Sequential trading and market-signal interpretation offer a natural theoretical foundation for leader-follower or wolf-pack activism.

7 Conclusion

7.1 Core conclusion (what the paper establishes)

- The paper establishes that informed activist trading can be predictable on average once firm fundamentals are endogenous and multiple activists interact dynamically.
- The sign of predictability depends on the interdependence of activists' private information: positive interdependence leads the leader to sell on average, negative interdependence leads the leader to buy.
- The same force shapes governance outcomes, abnormal prices, and the attractiveness of leading versus following.

7.2 Economic intuition

- A leader activist does not just trade on private information; she also trades to shape the follower's incentives.
- If the price reacts too strongly to order flow, the follower's gains from buying disappear, so the leader strategically softens her trade. If the price reacts too weakly, the leader buys more to create follower gains.
- The free-rider problem among activists therefore depends on correlation, timing, and the market's information-processing technology.

7.3 Takeaway

This paper is best understood as a dynamic theory of how activism is coordinated through markets rather than contracts. Its central contribution is to show that order flow can be used to induce later block formation and later intervention. Once that is true, the timing of trades changes both market outcomes and corporate governance outcomes. The theory therefore offers a unified way to think about predictable activist trading, the effectiveness of multiactivist campaigns, and the institutional phenomenon of wolf-pack activism.